Market Research Cheat Sheet

The three-phase market analysis from Chapter 5, on one page. You don't need to know the area. You need to know the math. Work the phases in order: high-level metrics, neighborhood analysis, then baselining homes. Stop asking "Where would I vacation?" Start asking "Where is there demand without supply?"

The tools:

Job	Tool
Find anchors	NPS.gov ("Find a Park"), plus national forests, big lakes, state parks
Prove demand	NPS Visitor Spending Effects reports (free, public), state and county tourism spending data
Supply, occupancy, ADR	AirDNA, Rabbu.com, PriceLabs
Scout towns	Google Maps
Home prices	Zillow, Redfin (search by ZIP code)
Revenue estimates	AirDNA's Rentalizer, Rabbu.com, PriceLabs' Revenue Estimator (never just one tool)
Population trend	Census data

One warning before you start. Markets move. Pull the data yourself, the week you're deciding, and trust nothing older than a season.

Phase 1 — High-Level Metrics (find the market)

- ☐ **List five anchors.** On NPS.gov, look for parks within a 2–5 hour drive of major cities. That radius powers drive-to travel. National forests, big lakes, and state parks count too.
- ☐ **Run the NPS Arbitrage on each.** Take the anchor's annual lodging spend and divide by $70K, what a well-run rural STR should gross in a year. That's roughly how many quality listings the demand can feed. Compare to active listings (AirDNA or similar). Far fewer listings than the demand can feed means undersupply. At or above it, you're playing musical chairs.

  Lodging spend $____________ ÷ $70K = ______ listings the demand can feed vs. ______ active listings
- ☐ **Score the market on the Matrix** (full template in this Bonus Pack): Tourism Demand 30%, Acquisition Cost 25%, Competition 20%, Regulatory 15%, Seasonality 10%. Decision rule: below 3.0, pass. Between 3.0 and 3.5, dig deeper. At 3.5 or above, investigate seriously. Score: ______ / 5.0

- ☐ **Place it on the Saturation Curve.** Undiscovered, Emerging, Discovered, Saturated. Buy in Stage 2 (Emerging). Judge the stage by supply relative to the demand math, not raw listing counts.
- ☐ **Check the three curve metrics:**

Metric	Healthy	Warning
Active listings growth	20%+/yr accelerating; 5–10% steady	Flat or declining: saturation or pullback
ADR trend (12 months)	Rising despite more listings	Flat or falling despite more listings
Occupancy trend	Stable or rising across similar listings	Declining

Phase 2 — Neighborhood Analysis (pick the town)

☐ **Map towns 10–60 minutes from the anchor** on Google Maps. Anchor demand within 30 minutes is the goal; past an hour, you're no longer selling the anchor.

☐ **Population under 30,000** is ideal. Check the census trend; you don't want a declining town.

☐ **Restaurants, groceries, and gas** within reach.

☐ **Fewer than 100 Airbnb listings** is a good sign. Search "Entire Place" and count the truly great ones.

☐ **Regulations checked.** STRs allowed or welcomed, minimal red tape. Check before you make an offer; pricing power means nothing in a town that won't let you operate.

☐ **Puck Principle Checklist: 4 of 7 boxes or better** (separate checklist in this Bonus Pack).

Resilient-market signals: multiple seasons of demand, park infrastructure investment, local business growth, STR-friendly rules, stable or growing population.

Red flags, walk away: one-trick-pony towns (one season, dead nine months), overregulated counties, major chain hotels breaking ground, declining population, single-employer towns.

Phase 3 — Baselining Homes (prove the numbers)

- ☐ **Search Zillow or Redfin by ZIP.** Target $250K–$350K for a 4 bed, 3 bath with 2,000-plus square feet. Take nothing smaller than 3 bed, 2 bath, 1,500 square feet. Avoid HOAs if possible. Look for good bones, even with dated finishes.
- ☐ **Save 3–5 viable listings** and run each through a revenue estimator.
- ☐ **Underwrite to the standard:** occupancy of 60–70% or better and projected gross annual revenue of $70K or better. If a deal only works at 80%+ occupancy, skip it. You're buying stress.

- ☐ **Demand extra margin.** Underwrite on trailing-twelve-month comps only. Haircut any revenue-tool projection by 10 to 15 percent. Plan around the 25th percentile of comparable listings, not the average.
- ☐ **Run the quick deal calculator** on each home. The 0.6 assumes 40% of revenue goes to cleaning, cohosting, utilities, maintenance, supplies, insurance, and taxes.

  (Annual Revenue × 0.6) − Annual Mortgage = Annual Cash Flow

  Example: $70K revenue − $28K expenses − $21,600 mortgage ($1,800/month) = roughly $20,400 a year, or $1,700 a month.
- ☐ **Clear at least $1,500 a month net** after all expenses. Below that, keep looking.
- ☐ **Check the fallback.** The house has to survive as a plain long-term rental. Market long-term rent should cover at least about 80% of your payment.

The ratios to memorize: anchor within 30 minutes; a million-plus visitors a year and under a hundred places to stay (a filter, not a law; some markets pass on proportions); lodging spend ÷ $70K vs. active listings; 60–70% occupancy; $70K a year gross; $1,500 a month net; matrix score 3.5+. And anchor to price-to-revenue, not the sticker: a $170K cabin that grossed $72K in year one is the ratio to hunt for.
